

**IN THE COURT OF COMMON PLEAS
KNOX COUNTY, OHIO**

State of Ohio, ex rel. Dave Yost,
Attorney General,

Plaintiff,

Case No. 20IN006-149

v.

JUDGE JAMES KIMBLER

The Landings Property Association, Inc., *et al.*,

Defendants.

Mullins Bros., Ltd.,

Defendant-Third-Party
Plaintiff,

v.

Carol A. Didinger, Trustee, *et al.*,

Third-Party Defendants.

**REPLY MEMORANDUM IN SUPPORT OF THE LONG DEFENDANTS' MOTION
FOR PARTIAL SUMMARY JUDGMENT ON MULLINS BROS., LTD.'S
CROSS-CLAIM AND THIRD-PARTY COMPLAINT, AND THE LONG
DEFENDANTS' CROSS-CLAIM AGAINST MULLINS BROS., LTD.**

Defendants Angela J. Arumpanayil, Trustee; Al Balaa and Marilou Fritz; Enon Banda and Deborah Banda; Erika D. Beck and Cary S. Beck; Kenneth Belcher and Andrea Belcher; Robert Boyd and Janet Boyd; Eric Lee Brown; Revecca M. Buckwalter; Aaron Burak and Allison Burak; Sara D. Butz nka Sara D. Stoessel; Anita C. Byrd, Trustee; Edwin L. Cable and Sandra M. Cable; Yong-Hwa Chen and Chu-Hsiang Chen; Matthew A. Cherup and Karen L. Cherup; Joseph R. Christopher and Cheryl K. Christopher; Kelly L. Clark and Christopher A. Clark; Marcell Codispoti and Peggy Codispoti; Paula C. Compton-Solie; Edward L. Cosby and Janice Cosby,

Trustees; Derk D. Demaree and Anita M. Demaree; Joseph M. DePolo and Robin L. DePolo; Carol A. Didinger, Trustee; Mark Driftmyer, Trustee; Linda L. Fritz; Peggy A. Gaddis; Donald L. Garvic; Andreas Giakoumas and Ypatia Giakoumas; Diane Goodrich and James Goodrich; Gary Gray and Carolyn Gray; Adrienne Harris and Jeffry Harris; Bharon Hoag and Heather Hoag; Shane Alan Kinton, Trustee; Laurie Ann Kirkpatrick, Trustee; Angela Lawson (Merryman); Robert S. Lebold and Jennifer Lebold; Richard Littleton and Vicki Littleton; Mark A. Long and Denise A. Long; Jesse L. Marlow and Jane C. Marlow; Hewlet McFarlane and Andrea White; Scott T. Miglin and Susan D. Miglin; Mount Vernon Nazarene University; Stephen D. Mullendore and Jeanne C. Mullendore, Trustees; Chetan I. Patel and Chetna C. Patel; Douglas P. Peterson and Diana L. Peterson; Philip B. Petrie and Priscilla J. Petrie; Randolph B. Plasse and Tina M. Plasse; Bradley D. Porter and Tonya S. Porter; Brian Przeracki; Kenneth L. Rhoades and Mary M. Rhoades; Ralph L. Shafer; Benjamin B. Snow and Mary M. Snow; Matthew M. Snow and Megan Snow; Rachel Strickland and Jeffrey Strickland; Stull Preservation Trust, Julie A. Didinger, Trustee; Rodger B. Stull and Nancy A. Stull; Crystal O. Tuel and Mark S. Tuel; Michael L. Ulrey and Rosemary Ulrey; Lawrence Vail and Nancy Vail; Alexander Varughese and Marcia J. Varughese; Brad Whitaker and Leslie Whitaker; Brian C. Williams; James E. Williams; Margaret Williams; Timothy J. Williams and Dianne L. Williams (collectively, the “Long Defendants”) by and through counsel, submit this Reply Memorandum (“Reply”) in support of their motion for summary judgment (“Motion”). This Reply is in response to Mullins Bros., Ltd. (“Mullins”) Memorandum in Opposition to the Long Defendants’ Motion for Summary Judgment (“Mullins Memorandum”).

I. INTRODUCTION AND OVERVIEW

The Mullins Memorandum admits critical points from the Motion, including that none of the Long Defendants own the land where the Knox Cattle Company Dam (the “Dam”) is located.

The Mullins Memorandum ignores and fails to rebut numerous arguments made by the Long Defendants in the Motion, implicitly accepting those arguments. The Mullins Memorandum makes several arguments without any evidentiary support, and without citing a single case, statute, secondary authority or other legal authority. These will be addressed below, as necessary.

Mullins failed to meet its burden to present specific evidence on an issue for which it bears the production at trial, that is, evidence that the Declarations filed with the County Recorder makes any of the Long Defendants owners of the Dam. See *State ex rel. Zimmerman v. Tompkins*, 75 Ohio St.3d 447, 449 (1996). Failure to present such evidence warrants summary judgment in favor of the movant. *Id.* Mere reliance on the pleadings or unsupported allegations is insufficient. *Id.* The adverse party must respond with specific facts showing that there is a genuine issue of material fact. *Beckloff v. Amcor Rigid Plastics USA, LLC*, 6th Dist., Sandusky No. S-16-041, 2017-Ohio 4467.

The Long Defendants are entitled to summary judgment under Rule 56(A) of the Ohio Rules of Civil Procedure, as parties seeking affirmative relief on Counts I, II, and IV of their Cross-Claim, and under Civil Rule 56(B), as defending parties on Mullins' Third-Party Complaint and Cross-Claim.

II. LAW AND ARGUMENT

A. None of the Long Defendants are owners of the Dam.

The Mullins Memorandum fails to rebut the entire first argument presented in the Motion, that the Long Defendants are entitled to summary judgment because they are not owners of the Dam. Mullins presented no evidence or law to contravene this essential point.

Ohio Adm. Code 1501:21-3-01(W) provides that the "Owner" of a dam "means those who own, or propose to construct a dam or levee."

This court has previously stated in this case, Judgment Entry as to Motion for Summary Judgment of Roger and Sharon Reed, filed March 1, 2023, that the owner of a dam for purposes of repair and maintenance cannot be anyone or anything other than the person or entity who has title to the land on which the dam is located. (Emphasis added.) Mullins ignores this vital point.

Mullins does not offer any evidence (nor could it) that any of the Long Defendants has title to the land on which the Dam is located.

Mullins does not allege that any of the Long Defendants are owners of the Dam. Rather, in the Mullins Cross-Claim, Mullins states, at ¶ 22:

The Knox County Auditor website lists The Landings Property Owners Association, Inc. as the owner of the Dam (Knox County Tax Parcel No. 66-09675.162).

The logic of this case is inescapable: the definition of an owner of a dam is provided in Ohio law in Ohio Adm. Code 1501:21-3-01(W), which provides that the “Owner” of a dam “means those who own, or propose to construct a dam or levee.” Nothing in the Ohio Revised Code in Chapter 1521 or in the Ohio Administrative Code indicates that the word “Owns” means anyone or anything other than the person or entity who has title to the land on which the Dam is located. Mullins does not allege and has no evidence that any of the Long Defendants own the land on which the Dam is located. Mullins owned the land where the Dam is located, and then transferred that land to Defendant The Landings Property Owners Association, Inc. None of the Long Defendants are members of The Landings Property Owners Association, Inc., nor have they ever been.

There is no genuine issue as to any material fact that none of the Long Defendants own the land where the Dam is located. As a matter of law, none of the Long Defendants is an owner of the Dam. Further, Ohio law is clear that only owners of the Dam are responsible for repairs and

maintenance of the Dam. The Long Defendants are entitled to judgment as a matter of law on the Mullins Claims and the Long Defendants' Cross-Claim.

B. The Declaration Does Not Change the Result.

Without providing any legal authority in support, or any coherent argument, Mullins contends that basic Ohio law should be ignored, and that somehow two poorly drafted Declarations filed with the Knox County Recorder make the Long Defendants individually responsible for repairs to the Dam, that they do not own. Mullins contends that the Declarations trump long standing law about who is responsible for repairs to dams under Ohio law. Mullins does not provide a case, a statute, a law review article, or anything else to inform the court how this is possible.

There are multiple reasons why the recording of a Declaration is irrelevant to the issue of who is responsible for repairs to the Dam, which is solely and exclusively the obligation of the owner of the Dam. Those reasons were set forth at length in the Motion, and Mullins did not rebut any of them, impliedly accepting their validity. Failure to present such evidence warrants summary judgment in favor of the Long Defendants. *State ex rel. Zimmerman v. Tompkins*, 75 Ohio St.3d 447, 449 (1996).

Mullins did not rebut that the Declaration only obligates a corporation, not any of the individual landowners. The language in the Declaration squarely places “sole responsibility” for “care and maintenance” of the “lake” on “this corporation”, *i.e.*, the Landings Common Area Association, Inc. The Declaration does not place any responsibility for the care and maintenance of the “lake” on any individual residing in The Landings, *i.e.*, the Long Defendants.

Chapter 1702 of the Ohio Revised Code sets forth the law on Ohio Nonprofit Corporations. Revised Code Section 1702(A) is clear:

The members, the directors, and the officers of a corporation shall not be personally liable for any obligation of the corporation.

The Declaration does nothing to establish any individual liability for any landowner, or any member of a homeowners' association, for the care and maintenance of the lake. Ohio law provides limited liability for individuals associated with corporations. "A fundamental rule of corporate law is that, normally, shareholders, officers, and directors are not liable for the debts of the corporation." *Belvedere Condominium Unit Owner's Assn. v. R.E. Roark Companies, Inc.*, 67 Ohio St.3d 274 (1993). Therefore, a corporation has the sole responsibility for care and maintenance of the lake, and the individual landowners have none.

Mullins did not rebut that R.C. 5312.08, which sets out the responsibility between the owners' association, and the individual landowners, for common areas, like the lake allegedly is in this case, precludes any finding of liability for maintenance of the Dam against any of the Long Defendants. Mullins did not deny that no Ohio court has ever imposed liability on an individual landowner for an obligation of a homeowners' association to maintain a common area.

Mullins did not deny that the Declaration does not require anyone to maintain a dam. In fact, the Declaration does not contain any reference to a dam. The word "dam" is not stated a single time in the eleven-page, single spaced Declaration.

Mullins did not deny that the Declaration obligates a nonexistent company. While Mullins stated in the Declarations that it "shall require the owners of all lots to become members of a non-profit corporation known as the Landings Common Area Association, Inc.", Mullins never created any such non-profit corporation.

The language in Paragraph 4(B) of the Declaration is sloppy, at best. Mullins and its lawyer drafted that language without any input from any of the Long Defendants. Because that language

in indefinite, doubtful, and capable of contradictory interpretation, the language must be strictly construed against Mullins.

Ohio's legal system “does not favor restrictions on the use of property.” *Driscoll v. Austintown Assoc.*, 42 Ohio St.2d 263, 276, 328 N.E.2d 395 (1975). “The general rule, with respect to construing agreements restricting the use of real estate, is that such agreements are strictly construed against limitations upon such use, and that all doubts should be resolved against a possible construction thereof which would increase the restriction upon the use of such real estate.” *Bove v. Giebel*, 169 Ohio St. 325, 159 N.E.2d 425 (1959), paragraph one of the syllabus. Furthermore, “[i]f the covenant's language is indefinite, doubtful, and capable of contradictory interpretations, the court must construe the covenant in favor of the free use of land.” *Farrell v. Deuble*, 175 Ohio App.3d 646, 2008-Ohio-1124, 888 N.E.2d 514, ¶ 11, citing *Houk v. Ross*, 34 Ohio St.2d 77, 296 N.E.2d 266 (1973), paragraph two of the syllabus.

Heather Lake Assn. v. Billiter, 2017-Ohio-8387, 99 N.E.3d 1018 (5th Dist. 2017), at ¶ 23.

The Supreme Court of Ohio has consistently held that “[w]here the language contained in a deed restriction is indefinite, doubtful and capable of contradictory interpretation, that construction must be adopted which least restricts the free use of the land.” *Morgan Woods Homeowners' Assn. v. Wills*, 5th Dist. Licking No. 11 CA 57, 2012-Ohio-233, 2012 WL 195409, ¶ 42, citing *Houk v. Ross*, 34 Ohio St.2d 77, 296 N.E.2d 266 (1973), paragraph two of the syllabus, overruled on other grounds by *Marshall v. Aaron*, 15 Ohio St.3d 48, 472 N.E.2d 335 (1984).

Id., at ¶ 32.

It is indefinite for the Declaration to state that the Developer shall require the owners of all lots to become members of a non-profit corporation known as the Landings Common Area Association, Inc., rather than stating that the owners of all lots are required to become members of any non-profit corporation. It is indefinite for the Declaration to state that the Developer shall require the owners of all lots to become members of a non-profit corporation known as the Landings Common Area Association, Inc., and then the Developer fails to take any action to require the owners of all lots to become members of any non-profit corporation. It is indefinite for

the Declaration to state that a corporation shall be responsible for care and maintenance of a lake, and not refer in any way to a dam associated with the lake. It is capable of contradictory interpretation for the Declaration to state that the Developer shall require the owners of all lots to become members of a non-profit corporation known as the Landings Common Area Association, Inc., and then argue that all owners of lots must become members of a different non-profit corporation known as The Landings Property Owners Association, Inc. It is doubtful and capable of contradictory interpretation for a Declaration for the Landings Phase VII and Phase VIII to recite the right of members of another homeowners association to utilize the lake for recreational purposes without payment of any fees or costs, and at their own risk.

Consistent with past holdings of the Supreme Court of Ohio, this court should adopt the construction of Paragraph 4(B) of the Declaration which least restricts the free use of the land, which is that none of the Long Defendants are required to members of a non-profit corporation known as The Landings Property Owners Association, Inc., and none of them are responsible for the care and maintenance of either the Lake or the Dam.

Mullins did not deny that the Declaration attempts to impose liability for care and maintenance of the lake on a corporation where the Long Defendants would be members, even though the lake was not a part of the development, and not a “common element” of the Landings Development. The Lake, and the Dam, are not part of The Landings. Instead, they are part of the Waters Edge development. Mr. Mullins admits that the area where the lake is situated is to the west and north of Phase VII of The Landings.

The Mullins Memorandum failed to rebut or deny any of the five points reiterated above. That is, even if a Declaration could somehow provide a basis for individual liability for a homeowner in a development over maintenance of a dam where the homeowner does not own the property where the dam is located (a proposition Mullins has provided no legal support for), and

even if Mullins had provided adequate notice to each of the Long Defendants of the deed restriction regarding membership in The Landings Property Owners Association, Inc. (which it did not, as discussed below), any one of those five points would preclude a finding against the Long Defendants. Here, all five points are valid, un rebutted, and preclude liability, thus justifying summary judgment in favor of the Long Defendants.

C. The Deed Restrictions Are Not Enforceable.

In addition to all of the foregoing reasons why the Declarations do not make the Long Defendants liable for repairs to the Dam, the restrictions set forth in the Declarations concerning the lake and the homeowners association are not binding on the Long Defendants.

Mullins agrees, on page 11 of the Mullins Memorandum, that to create an enforceable restriction on the use of land by covenant, there are five requirements. These requirements are:

First, the restrictions must be a part of the general subdivision plan, applicable to all lots in the subdivision. Second, lot purchasers must be given adequate notice of the restriction. Third, the restrictions must be in accord with public policy, and they are unenforceable to the extent that they are not. Fourth, the restriction cannot be implied, but must be express. Fifth, the restrictions must run with the land, and therefore must be inserted in the form of covenants in the owner's chain of title. Otherwise, subsequent purchasers are not bound.

Lipchak v. Chevington Woods Civic Association, Inc., 2015-Ohio-263, ¶ 33 (5th Dist. 2015).

Here, the restrictions, *i.e.*, the provisions in Paragraph 4(B) of the Declarations about membership in a particular nonprofit corporation, and the corporation's maintenance of the lake, are not enforceable against the Long Defendants for any of three reasons: Mullins did not give any of the Long Defendants adequate notice of the restrictions; those restrictions are not in accord with public policy; and they are not express.

1. Mullins Failed to Provide Adequate Notice of Deed Restrictions to Any of the Long Defendants

Mullins does not deny that none of the deeds issued by Mullins had any reference to a nonprofit corporation, a homeowners association, a lake, a dam, or assessments, or that Mullins failed to attach a copy of the Declaration to any deed issued to any of the Long Defendants. None of the deeds state that the deed restrictions run with the land.

Mullins does not deny that Mullins never showed the Declaration to any lot owners or potential lot owners. Mullins was not present at any closings for the sale of lots.

Mullins contends that the filing of the Declarations with the County Recorder might be enough for notice, without actual notice being provided. Mullins is wrong. Mullins relies upon *Heather Lake Assn. v. Billiter*, 2017-Ohio-8387, 99 N.E.3d 1018 (5th Dist. 2017), which in turn relies upon *Acacia on the Green Condominium Assoc., Inc. v. Gottlieb*, 8th Dist. Cuyahoga No. 92145, 2009-Ohio-4878, which in turn relies upon *High Point Assn. v. Salvekar*, 8th Dist. Cuyahoga No. 65725, 1994 Ohio App. LEXIS 2986. In *High Point*, in addition to recorded covenants, there was evidence that the homeowner had actual notice of the restrictions. That case did not hold that constructive notice, without accompanying actual notice, was sufficient, so both *Gottlieb* and *Billiter* are flawed authority.

Mullins then argues that Mullins provided actual notice of the deed restrictions based on alleged “Closing Agreements”. However, Steve Mullins admitted in his deposition that he is unable to identify a single person who signed the alleged agreement.

Q. Can you identify a single resident of The Landings, either Phase VII or VIII, who you can swear under oath signed a document as you’ve just described it?

A. No. I probably didn’t see it personally, so I couldn’t swear under oath that I seen it happen, no, sir. If I wasn’t at the closing, I didn’t see it, I can’t swear under oath that I seen it, and I wouldn’t try that.

(Depo. of Steve Mullins, p.162.)

After this deposition, Mullins “searched for all documents related to Phase VII and Phase VIII” and “produced all discoverable records it found”. (Mullins Dec. 20, 2023 Affidavit, ¶ 11.)

The only evidence Mullins produced is that three of the Long Defendants (Derk Demaree, Stephen Mullendore, and Paula Camille Compton Solie) signed a one-page document in which they purportedly acknowledged that they agreed with deed restrictions that were recorded with the Knox County Recorder. Mullins has no such written acknowledgment from any of the other 104 Long Defendants, all of whom have denied signing any such acknowledgment in their sworn affidavits, on file in this action. See, for example, the affidavits of Long Defendants Kenneth and Andrea Belcher, who purchased their property in Phase VII of the Landings on July 25, 2007, from Schlabach Builders, Ltd. (Affidavits of Kenneth and Andrea Belcher), filed herein. They never signed an agreement with Mullins acknowledging any deed restrictions. (Affidavits of Kenneth and Andrea Belcher, ¶ 24.) They never signed an agreement with Mullins to join a homeowners association. (Id., ¶ 25.)

It is hardly surprising that Mullins only has written agreements with less than a handful of individuals, out of more than a hundred. Most of the lots that Mullins sold in The Landings were to builders who then erected houses on lots, and were the direct sellers to individuals who now reside in The Landings. Steve Mullins admitted this in his deposition:

Q. Alright. So you gave the names to Mr. Kidwell of everybody that Mullins Bros. had sold a lot to in Phase VII and Phase VIII, right?

A. Well, that’s not correct, because I didn’t sell 75 individual lots to 75 people. I only sold, like, 16 lots to individuals and then I sold bulks of them to builders.

(Mullins Depo., pp. 218-219.)

The overwhelming majority of the Long Defendants did not purchase a lot from Mullins, but bought from a builder, or from an individual who purchased from someone who had purchased from Mullins. Mullins made absolutely no effort in his affidavit to carve out its claim as to those few individuals with whom there is an alleged written agreement.

The Long Defendants have filed 71 affidavits detailing Mullins' failure to provide adequate notice of deed restrictions (among other facts). An example is the affidavits of Long Defendants Marcell and Peggy Codispoti, who purchased their property in Phase VIII of the Landings on November 8, 2021, from Donald and Debra Ezzo. (Affidavits of Marcell and Peggy Codispoti). Their deed, attached to their affidavits as Exhibit A, does not have any reference to any Declaration. (Id., ¶ 6.) Their deed does not have any reference to any Building and Development Restrictions, or to the Deed Volume and Page where the Building and Development Restrictions were recorded. (Id., ¶ 8, 9.) There was no Declaration attached to their deed. (Id., ¶ 7.) Their deed does not have any reference to any requirement to join a homeowners association, or other entity. (Id., ¶ 10.) They never signed an agreement with Mullins acknowledging any deed restrictions. (Id., ¶ 24.) They never signed an agreement with Mullins to join a homeowners association. (Id., ¶ 25.)

The Codispoti deed did not give them any clue that they might have some obligation to become members of a homeowners association. All the deed says is that the conveyance is "Subject to conditions, restrictions and easements, if any, contained in prior instruments of record."

This is "vague, boilerplate language" that leaves it unclear whether any deed restrictions "may—or may not—exist." *Erickson v. Morrison*, 165 Ohio St.3d 76, 2021-Ohio-746, 176 N.E.3d 1 (2021) ¶ 32. There is no notice that the homeowner has any obligation to become a member of a homeowners association.

Long Defendants Richard and Vicki Littleton purchased their property in Phase VII of the Landings on May 9, 2022, from Darrell Breese. (Affidavits of Richard and Vicki Littleton). Their deed, attached to their affidavits as Exhibit A, does not have any reference to any Declaration. (Id., ¶ 6.) Their deed does not have any reference to any Building and Development Restrictions, or to the Deed Volume and Page where the Building and Development Restrictions were recorded. (Id., ¶ 8, 9.) There was no Declaration attached to their deed. (Id., ¶ 7.) Their deed does not have any reference to any requirement to join a homeowners association, or other entity. (¶, ¶ 10.) They never signed an agreement with Mullins acknowledging any deed restrictions. (Id., ¶ 24.) They never signed an agreement with Mullins to join a homeowners association. (Id., ¶ 25.)

The Littleton deed did not give them any clue that they might have some obligation to become members of a homeowners association. All the deed says is that the conveyance is “Subject to conditions, restrictions and easements, if any, contained in prior instruments of record.” (Emphasis added.)

Long Defendants Timothy and Dianne Williams purchased their property in Phase VIII of the Landings on July 27, 2018, from Shyang-Ming and Tong-Ling Yeh. (Affidavits of Timothy and Dianne Williams). Their deed, attached to their affidavits as Exhibit A, does not have any reference to any Declaration. (Id., ¶ 6.) Their deed does not have any reference to any Building and Development Restrictions, or to the Deed Volume and Page where the Building and Development Restrictions were recorded. (Id., ¶ 8, 9.) There was no Declaration attached to their deed. (Id., ¶ 7.) Their deed does not have any reference to any requirement to join a homeowners association, or other entity. (Id., ¶. 10.) They never signed an agreement with Mullins acknowledging any deed restrictions. (Id., ¶ 24.) They never signed an agreement with Mullins to join a homeowners association. (Id., ¶ 25.)

The Williams deed did not give them any clue that they might have some obligation to become members of a homeowners association. All the deed says is that the conveyance is “Subject to all reservations, conditions, limitations, highways, public roads, rights-of-way, easement and restrictions of record.”

Even if there was evidence that any of the Long Defendants had a copy of the Declaration before they purchased their lot (which there is not), or had constructive notice, what they would have seen would be a reference to membership in a nonprofit corporation which would be responsible for care and maintenance of a lake that was not in their housing development, with a requirement that they pay annual dues of \$200. And they would have seen that their developer, Mullins, was setting up a corporation, the Landings Common Area Association, Inc., which would have exclusive control of the lake and be responsible for its care and maintenance—a corporation that the developer never formed. That is not adequate notice of individual liability for millions of dollars in repairs for a dam in another housing development.

2. The Deed Restrictions Are Contrary to Public Policy

Moreover, under *Lipchak*, a deed restriction that is not in accord with public policy is unenforceable:

Third, the restrictions must be in accord with public policy, and they are unenforceable to the extent that they are not.

Lipchak v. Chevington Woods Civic Association, Inc., supra, ¶ 33 .

Mullins does not deny that the deed restriction is against public policy.

It is against public policy to require homeowners of a planned community to be financially responsible for maintenance of a lake and a dam that are not located in their planned community, and in which they have no ownership interest, and no right of access, even if they had notice of this claimed restriction.

The statement in Paragraph 4(B) of the Declaration, “This corporation shall have the sole and exclusive control of the lake located on the land of the Developer and shall be responsible for its care and maintenance” is contrary to public policy and therefore unenforceable.

3. The Deed Restrictions Are Not Express

Lipchak holds, “Fourth, the restriction cannot be implied, but must be express.”

An express restriction would name “The Landings Property Owners Association, Inc.” A restriction that names another company, but that the drafter wants readers to interpret to be “The Landings Property Owners Association, Inc.” is an implied restriction.

There is no provision in the Declaration requiring any of the Long Defendants to become a member of a non-profit corporation known as “The Landings Property Owners Association, Inc.”

The Landings Property Owners Association, Inc. is not mentioned anywhere in the chain of title for any of the Long Defendants. It is not mentioned in their deed, or in a Declaration filed with the Knox County Recorder. A property owner is not required to pay assessments to, or join, a planned community association that is not referenced in the property owner’s chain of title. *Lubow v. Haaf Farms Homeowner’s Ass’n*, (5th Dist., 2017), 2017-Ohio-2973.

Mullins does not deny any of this.

Because there is no express restriction saying that property owners are required to become members of a non-profit corporation known as “The Landings Property Owners Association, Inc.”, the deed restriction concerning membership in a non-profit corporation is unenforceable.

4. There Was No “Scrivener’s Error”

Mullins argues that its lack of notice to purchasers of the requirement that they were required to become a member of a non-profit corporation known as The Landings Property Owners Association, Inc. should be excused because its lawyer made a “scrivener’s error”. That argument is unavailing, because the error allegedly made by the lawyer does not qualify as a “scrivener’s

error”. Not every mistake or error in a document equals a “scrivener’s error”. The alleged mistake in this case was not a minor, technical error, and it was not a mutual mistake.

The party who asserts a scrivener’s error bears the burden of proof to establish the issue by clear and convincing evidence. As explained in *Dornbirer v. Conrad*, 5th Dist. Perry No. 99-CA-26, 2000 WL 1751264, *2 (Nov. 20, 2000):

Reformation of an instrument based on mutual mistake is permitted only where there is clear proof that the parties to the instrument made the same mistake and that both parties understood the instrument as the party seeking reformation alleges it ought to have been. See *Snedegar v. Midwestern Indemn. Co.* (1988), 44 Ohio App.3d 64, 69, 541 N.E.2d 90. The party alleging mutual mistake has the burden of proving its existence by clear and convincing evidence. *Castle v. Daniels* (1984), 16 Ohio App.3d 209, 475 N.E.2d 149.

Mullins has failed to prove by clear and convincing evidence that there was a scrivener’s error.

First, a “scrivener’s error” is essentially a typographical error. In *Lipchak v. Chevington Woods Civic Association, Inc.*, 2015-Ohio-263, ¶33 (5th Dist. 2015), property owners sought a declaration that the lot owners of Chevington Woods North, Section No. 2 were not required to be members of the homeowner’s association, Chevington Woods Civic Association, because the deeds for this subdivision contained a covenant for a homeowner’s association named “Chevington Civic Association.” *Lipchak*, at ¶ 1, 16, 26.

The Fifth District found that the Association met its burden to “to demonstrate the *unintentional omission of the word “Woods”* was a scrivener's error.” *Id.* at ¶ 33-39 (emphasis added). The court noted that a scrivener’s error “is one ‘resulting from a minor mistake or inadvertence, esp. in writing or copying something.’” *Id.* at 35, quoting Black’s Law Dictionary 18(c) (9th ed.2009).

The facts here differ. Mullins created The Landings Property Owners Association, Inc. and should have used that name a week later when it created the Declaration. Instead, in the Declaration, there was no reference to The Landings Property Owners Association, Inc., but instead to the Landings Common Area Association, Inc. This is not the simple omission of a single word or an inadvertent mistake made when copying text.

Second, the error committed by Mullins was its alone, a unilateral mistake, not one in which the Long Defendants participated. It is well-established that “[r]eformation of an instrument is an equitable remedy whereby a court modifies the instrument which, due to mutual mistake on the part of the original parties to the instrument, does not evince the actual intention of those parties.” *Mason v. Swartz* (1991), 76 Ohio App.3d 43, 50, 600 N.E.2d 1121, citing *Greenfield v. Aetna Cas. & Sur. Co.* (1944), 75 Ohio App. 122, 128, 61 N.E.2d 226. The burden is on the party seeking reformation to establish by clear and convincing evidence that both parties were mistaken as to what was being conveyed. *Mason*, at 50, 600 N.E.2d 1121; see, also, *Stewart v. Gordon* (1899), 60 Ohio St. 170, 53 N.E. 797, paragraph one of the syllabus.

Mullins’ lawyer allegedly made a mistake in drafting the Declaration, and Mullins did not catch it when Steve Mullins read the Declaration before signing it. But, assuming this was a mistake, this was not a mutual mistake, that is, one in which the land purchasers joined.

Attorney Robert Rauzi created Articles of Incorporation in March, 2005, for a nonprofit corporation named The Landings Property Owners Association, Inc. On March 14, 2005, Steve Mullins signed Articles of Incorporation for The Landings Property Owners Association, Inc. (Mullins Depo., p. 179.) Attorney Rauzi then created the Declaration for Phase VII. Attorney Rauzi did not refer to The Landings Property Owners Association, Inc. in the Declaration. Instead, he referred, in Section 4(B), to the Landings Common Area Association, Inc. Attorney Rauzi provided a draft of the Declaration to Steve Mullins to review. (Rauzi Depo., p. 56.) He called

to Mr. Mullins' attention the new language he had created in paragraph B on page 3 (which had the language about The Landings Common Area Association, Inc.) (Id.) Eight days after Steve Mullins signed the Articles of Incorporation for The Landings Property Owners Association, Inc., on March 22, 2005, he signed the Declaration which had no reference to The Landings Property Owners Association, Inc., but instead referred to the Landings Common Area Association, Inc. (Mullins Depo., p. 179.)

Steve Mullins apparently did not understand that the name in the Declaration was different from the name in the Articles of Incorporation (and the Deed in 2007) until 15 years later, in 2020. (Mullins Depo., p. 45.)

The alleged error committed by Mullins, and its lawyer, was in the two Declarations, where they referred on page 3, in Section 4(B), to The Landings Common Area Association, Inc., rather than to The Landings Property Owners Association, Inc., which had already been set up, and which would later be the recipient of land under a quit claim deed.

Q. Now, you've talked about—earlier when you claimed there was a scrivener's error that there was an unintentional difference in names in one document compared to two other documents. Which one was the error? Was the error in the deed or was the error in the declaration?

A. The error was in the declaration. I guess plural. Both of them.

(Rauzi Depo., p. 77.)

Thus, the question becomes whether the purchasers in The Landings also understood when they purchased their lots that the name in the Declaration should have been The Landings Property Owners Association, Inc., instead of the Landings Common Area Association, Inc. The answer is that they did not.

In *Lipchak*, there was evidence that the homebuyer was aware of the correct name of the entity (Chevington Woods Civic Association) before the purchase and that there was therefore a

mutual mistake when the document omitted the word “Woods”. The court found that “Appellants’ own testimony and actions reflect that their understanding was the Association is the ‘association’ listed in their deed.” ¶ 38. The *Lipchak* property owners were aware of the restrictive covenants in the deeds, attended association meetings, and paid dues. *Id.* at ¶ 34, 38. Further, two of the three subdivisions subject to the restrictive covenant had the proper homeowners’ association listed in the deeds. *Id.* at ¶ 24-25, 27.

That is very different from the facts of this case. Here, none of the deeds to The Landings listed “The Landings Property Owners Association”, or even any association. Not a single Long Defendant was aware of an entity called The Landings Property Owners Association, Inc. before their purchase, so when the Declaration was recorded using a different name, The Landings Property Owners Association, Inc., that was not a mutual mistake.

An example, again, is the affidavits of Long Defendants Kenneth and Andrea Belcher, who purchased their property in Phase VII of the Landings on July 25, 2007. (Affidavits of Kenneth and Andrea Belcher). They each stated in their affidavits:

48. I had and have no reason to believe that the reference in Section 4(B) of the Declaration to the Landings Common Area Association, Inc. was a mistake.

49. Before I purchased my house, I had never heard of The Landings Property Owners Association, Inc., and had no reason to believe that the reference in Section 4(B) of the Declaration to the Landings Common Area Association, Inc. was instead supposed to be a reference to The Landings Property Owners Association, Inc.

They each also swore in their affidavits:

32. Before the filing of this lawsuit by the State of Ohio, I had no personal knowledge of the Articles of Incorporation for The Landings Property Owners Association, Inc., because purported Articles of Incorporation were never provided to me by Mullins or The Landings Property Owners Association, Inc.

...

37. Mullins never took any action to require me to become a member of a non-profit corporation known as The Landings Property Owners Association, Inc.

...

39. I have never been a member of any entity known as The Landings Property Owners Association, Inc.

...

41. I have never been a trustee, director, or officer of any entity known as The Landings Property Owners Association, Inc.

...

43. I have never paid any money to any entity known as The Landings Property Owners Association, Inc.

....

45. I have never received a bill, invoice, statement, or assessment from any entity known as The Landings Property Owners Association, Inc.

Similar affidavits have been filed by 69 other Long Defendants.

As noted in *Zwaryz v. Wiley*, 1999 WL 689940 *2 (11th Dist. 1999), where the court affirmed a judgment that the plaintiff failed to prove an alleged scrivener's error, "The burden is on the party seeking reformation to establish by clear and convincing evidence that both parties were mistaken as to what was being conveyed." (Emphasis added.)

Mullins, and its lawyer, claim that they made a mistake when they wrote the Landings Common Area Association, Inc. in the Declaration instead of The Landings Property Owners Association, Inc. But, none of the Long Defendants knew, or had any reason to suspect, that was a mistake. None of them had ever even heard of The Landings Property Owners Association, Inc. Mullins' mistake was not a mutual mistake, and therefore this was not a "scrivener's error".

5. The Long Defendants Have No Obligations to The Landings Property Owners Association, Inc., But Mullins Does

Mullins does not deny that the Articles of Incorporation for The Landings Property Owners Association, Inc. were prepared by legal counsel for Mullins, and its authorized representative was Steve Mullins. In those Articles of Incorporation, Steve Mullins identified himself as the incorporator, and set himself up as the statutory agent of The Landings Property Owners

Association, Inc., listing the address as 11301 Upper Gilchrist Road in Mount Vernon, the address of his business of Complete Comfort Systems, Inc.

Mullins does not deny that the Landings Property Owners Association, Inc. is not mentioned anywhere in the chain of title for any of the Long Defendants. It is not mentioned in their deed, or in a Declaration filed with the Knox County Recorder.

Mullins does not deny that the responsibility under Ohio law for preparation of corporate regulations falls on the incorporator of a nonprofit corporation. Mullins does not deny that there were never any regulations or bylaws created for The Landings Property Owners Association, Inc.

Mullins does not deny that Steve Mullins never, as incorporator of The Landings Property Owners Association, Inc., as required by Revised Code Section 1702.13, maintained a record of its members containing the name and address of each member, the date of admission to membership, and the class to which the member belongs; or, as required by Revised Code Section 1702.15, maintained correct and complete books and records of account, together with minutes of the proceedings of its incorporators, members, directors, and committees of the directors or members; or as required by Revised Code Section 1702.16, held an annual meeting of voting members for the election of directors and the consideration of reports.

Mullins does not deny that R.C. 1702.34 requires a non-profit corporation to have officers, consisting of a president, a secretary, and a treasurer, but Steve Mullins never took any action to appoint or elect any officers for The Landings Property Owners Association, Inc.

Mullins does not deny that Mullins never filed a corporate tax return for The Landings Property Owners Association, Inc. and never filed an annual report with the Ohio Department of Taxation for The Landings Property Owners Association, Inc.

Mullins does not deny that R.C. 5312.02(D) required that bylaws be recorded with the Knox County Recorder on or before March 9, 2011, but Mullins failed to record any declaration

or bylaws in Knox County, Ohio for either the Landings Common Area Association, Inc. or The Landings Property Owners Association, Inc. That means that The Landings Property Owners Association, Inc. was not legally formed under the Ohio Planned Community Act. As such, that entity had no standing to bring an action against any of the Long Defendants to pay assessments for maintenance of the lake or dam. *Lake Milton Estate Prop. Owners Ass’n. v. Hufford*, 2018-Ohio-4784 (7th Dist. 2018).

Mullins does not deny that Steve Mullins set up a banking account for “The Landings Property Owners Association, Inc.” at the bank where he had a preexisting business relationship. Mullins does not deny that Steve Mullins sent invoices to some property owners in Phase VII and Phase VIII of the Landings, deposited checks in the corporate banking account he controlled, and wrote checks for the maintenance of the lake owned by Mullins, but never sought authorization from any of the Long Defendants for any of this. Mullins does not deny that Steve Mullins never told any of the Long Defendants that he had created a corporation known as “The Landings Property Owners Association, Inc.”

Mullins does not deny that on July 31, 2007, Mullins transferred the title of the property where the lake was located to “The Landings Property Owners Association, Inc.” But, it never told any of the Long Defendants that it had done this. And, it never notified the chief of the Ohio Department of Natural Resources of a change in ownership of the Dam prior to the transfer of title, as required by R.C. 1521.062(K).

Mullins does not deny that Mullins never amended either Declaration. Therefore, any reader of either Declaration would understand that the lake was owned by Mullins; that a nonprofit corporation known as the Landings Common Area Association, Inc. existed and would have sole and exclusive control of the lake; and that owners of lots in Phases VII and VIII would be required

to become a member of a nonprofit corporation known as the Landings Common Area Association, Inc.

However, after July 31, 2007, none of that was true. The lake wasn't owned by Mullins but by a corporation not mentioned in any Declaration or deed, The Landings Property Owners Association, Inc.; and Mullins never created a nonprofit corporation known as the Landings Common Area Association, Inc., which WAS the nonprofit corporation mentioned in the Declarations, but never explained why to any of the Long Defendants, and Mullins never issued any invoices to any of the Long Defendants for annual dues in a nonprofit corporation known as the Landings Common Area Association, Inc.

Mullins does not deny that in October, 2009, Steve Mullins received the 2009 Dam Owners Letter from the State, and, despite the letter saying, "If you believe that you are not an owner of the Knox Cattle Company dam or believe that there are additional owners of the dam not addressed in this communication, please contact Jim Huitger at 614/265-6736", Steve Mullins never contacted Mr. Huitger or anyone else at the State to say that neither Mullins nor The Landings Property Owners Association owned the Dam, or that there were any additional owners of the Dam. Mullins never contacted any lot owner in either the Phase VII Development or the Phase VIII Development to inform them of the content of the 2009 Dam Owners Letter, or that the State had changed the classification of the Dam to Class I.

III. CONCLUSION

For the foregoing reasons, the Long Defendants respectfully request that this Court find that there are no genuine issues of material fact, that none of the Long Defendants are owners of the Dam as a matter of law, and that the Declarations do not impose any obligations for maintenance of the Dam on any of the Long Defendants as a matter of law, and further find that

the Long Defendants are entitled to summary judgment on the Mullins Claims, and on Counts I, II, and IV, of the Long Defendants' Cross-Claim against Mullins.

Respectfully submitted,

/s/ Stephen E. Chappellear

Stephen E. Chappellear (0012205)

sechappellear@eastmansmith.com

Kyle D. Tucker (0090764)

kdtucker@eastmansmith.com

EASTMAN & SMITH LTD.

250 Civic Center Drive, Suite 280

Columbus, Ohio 43215

Tele: (614) 564-1440

Fax: (614) 280-1777

***Attorneys for Long Defendants and Third-Party
Defendants***

CERTIFICATE OF SERVICE

I hereby certify that a true and accurate copy of the foregoing was served upon the following via electronic or regular mail this 26th day of January, 2024.

Brett A. Kravitz, Esq.
Kevin Porter, Esq.
Joseph T. Wambaugh, Esq.
Brett.kravitz@ohioAGO.gov
Kevin.Porter@ohioAGO.gov
Joseph.Wambaugh@ohioAGO.gov
Attorneys for Plaintiff, State of Ohio

Stephen P. Samuels, Esq.
Christina Wieg, Esq.
Frost Brown Todd LLC
ssamuels@fbtlaw.com
cwieg@fbtlaw.com
Attorneys for Defendant, City of Mount Vernon

P. Robert Broeren, Jr., Esq.
City Law Director
lawdirector@mountvernonohio.org
Attorney for Defendant, City of Mount Vernon

Kenneth E. Lane, Esq.
laneoffices@gmail.com
Attorney for Defendant, Michele D. Lane

Asiye Aydin - sueda.aydin@yahoo.com
Nuh Aydin - nuhaydin@gmail.com

Daniel Risser
Cara Salmon Risser
43 Wildwood Lane West
Mount Vernon, OH 43050

John Witham
Kristen Witham
drkristenwitham@gmail.com

Deborah Forsythe - missdeb.forsythe@gmail.com

William M. Mattes, Esq.
Kelli J. Amador, Esq.
Dinsmore & Shohl, LLP
bill.mattes@dinsmore.com
kelli.amador@dinsmore.com
Attorneys for Defendant, Mullins Bros. Ltd.

Noel B. Alden, Esq.
Zelkowitz, Barry & Cullers, Ltd.
nalden@zbclaw.com
Attorney for Defendants
Amy Badertscher and Michael C. Reilly

Gary Fisher
Julie Fisher
Iris Morales
femaleundercov@yahoo.com

Cynthia A. Cunningham, Esq.
Kidwell & Cunningham Ltd.
ccunningham@kclawohio.com

Helena J. Curry - helenacurry7@gmail.com
Phillip W. Curry - phillipwcurry@gmail.com

The Landings Property Owners Association, Inc.
c/o George Bertko, Registered Agent
P.O. Box 336
Mount Vernon, OH 43050

Chad Taylor - submakersinc@gmail.com

/s/ Stephen E. Chappelear
Stephen E. Chappelear (0012205)